WALCHANDNAGAR INDUSTRIES LTD

NSE: WALCHANNAG | BSE: 507410 | Heavy Engineering & Defense | Standalone

Sector: Industrials > Capital Goods > Aerospace & Defense > Heavy Engineering

RATING	HOLD	12M TARGET	Rs. 295	UPSIDE / DOWNSIDE	+15.7%	HORIZON	18-24 Months

INVESTMENT THESIS: Nuclear renaissance (PFBR criticality Apr-2026, SHANTI Act) + defense indigenisation could inflect WIL revenues 3x by FY29, justifying premium despite current losses.

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	Book Value (Rs.)
255.00	**1,728**	**278**	**131**	**51.3**

P/B (x)	EV (Rs. Cr)	Forward PE (x)	ROCE (%)	ROE (%)
4.97	**1,818**	**92.3**	**-8.33**	**-25.3**

Debt (Rs. Cr)	D/E (x)	Int Coverage (x)	Promoter Hold	Pledge (%)
194	**0.56**	**-0.89**	**31.59%**	**49.2%**

SCENARIO ANALYSIS

SCENARIO	KEY ASSUMPTION	FY27E PAT (Rs. Cr)	TARGET PRICE (Rs.)	UPSIDE/(DOWNSIDE)
Bull Case	Nuclear orders x2 + defense scales to Rs. 700 Cr revenue, OPM 15%	55 (E)	420 (E)	**+65%**
Base Case	Gradual recovery, PFBR orders materialise FY27-28, Sales Rs. 380 Cr, OPM 13%	19 (E)	295 (E)	**+15.7%**
Bear Case	Order delays continue, losses persist, promoter pledge pressure, Sales Rs. 220 Cr	-35 (E)	160 (E)	**-37.3%**

Report Date: 09 May 2026 | Analyst: Senior Equity Research | Institutional Equities Desk | Source: Screener.in | View: Standalone

SECTION 2 — INVESTMENT THESIS

1. Nuclear Power Renaissance — 50-Year Relationship Monetises

India's Prototype Fast Breeder Reactor (PFBR) at Kalpakkam achieved first criticality on 6 April 2026 — a generational milestone. The SHANTI Act (2025) opens private participation in civil nuclear for the first time since the 1962 Atomic Energy Act. WIL has manufactured critical equipment for DAE/NPCIL/BARC for 50+ years including sodium heat exchangers for PFBR and nuclear reactor components. Six commercial FBR-600 reactors are planned for 2030-2040, each requiring specialised heavy engineering fabrication. With FBR-1 and FBR-2 financial sanctions now unlocked, WIL is best-positioned private sector player to win these fabrication orders. The nuclear opportunity alone could double WIL's addressable market from ~Rs. 250 Cr/year to Rs. 500-700 Cr/year by FY28-29.

2. Defense & Aerospace Indigenisation — Order Book of Rs. 909 Cr in FY25

WIL supplies critical missile sub-assemblies (Akash at 25/month, Agni, Astra, over 1,000 booster motor casings delivered), GSLV Mk III hardware (4 flights/year capacity), and contributed to Gaganyaan Crew Escape System. India's defense capex is rising 12-15% annually; Make-in-India mandates are compressing imports and funnelling orders to domestic manufacturers. WIL's Rs. 909 Cr order book (as of FY25) provides ~3.5x revenue cover and visibility into FY26-FY28 execution. Catalysts within 12 months: Akash Mk-2 scale-up, DRDO Astra Mk-2 production, potential hypersonic program fabrication contracts.

3. Balance Sheet Turnaround — Debt Halved, Q3 FY26 First Profit in Years

WIL's debt has been slashed from Rs. 448 Cr (FY22) to Rs. 194 Cr (FY25), primarily via an equity raise of Rs. 216 Cr through warrants (promoters + marquee investors including Ashish Kacholia). The company exited a standstill arrangement with ACRE-120 TRUST (debt restructuring signed May 2023) and is now on a cleaner footing. Q3 FY26 (December 2025) delivered the first profitable quarter in three years: Rs. 80.95 Cr revenue (+37% YoY), EBITDA margin 18.9%, PAT Rs. 4.66 Cr. Operating leverage is kicking in as fixed-cost absorption improves. Debtor days improved sharply from 210 to 99 days (FY25). Break-even revenue appears to be ~Rs. 65-70 Cr/quarter; Q3 FY26 at Rs. 81 Cr crossed this threshold decisively.

KEY CATALYST	KEY RISK
FBR-1 commercial fabrication order award (expected H2 FY27): could add Rs. 150-200 Cr to order book in one announcement, re-rating the stock to peer-group multiples.	Promoter pledge (49.2% of 31.6% holding) creates forced-selling overhang. Any margin call or lender action could trigger significant stock volatility and dilution risk.

SECTION 3 — BUSINESS OVERVIEW

Walchandnagar Industries Limited (WIL), incorporated in 1908 by industrialist Seth Walchand Hirachand, is one of India's oldest heavy engineering companies. Headquartered in Mumbai with its manufacturing plant in Walchandnagar (Pune district), WIL is an ISO 9001:2008 certified company operating across two primary business segments: (1) **Heavy Engineering** and (2) **Foundry & Machine Shop**. The company designs, manufactures, and installs highly customised, capital-intensive equipment for strategic sectors where quality and regulatory certification are the primary moat, not price.

BUSINESS SEGMENT	KEY PRODUCTS / DELIVERABLES	PRIMARY CUSTOMERS	APPROX. REVENUE MIX
Nuclear Power	Reactor components, steam generators, heat exchangers, pressure vessels, fuel handling systems for PFBR, PHWRs	DAE, NPCIL, BARC	**~30%**
Defence & Missiles	Rocket booster motor casings (Agni, Akash, Astra, 1,000+ delivered), Akash Mk-1 sub-assemblies at 25 sets/month	DRDO, OFB, Armed Forces	**~35%**
Aerospace & Space	GSLV Mk III flight hardware (4 flights/yr capacity), Gaganyaan Crew Escape System, Aditya L1 support	ISRO, VSSC	**~15%**
Industrial Heavy Engg.	Sugar plant equipment, cement plant components, centrifugal machines, gear boxes, industrial boilers	L&T, Sugar mills, Cement cos	**~20%**

Order Book & Revenue Visibility: As of March 2025, WIL maintained an order book of Rs. 909 Cr (~3.5x FY25 revenues), providing multi-year revenue visibility. Order inflows have been lumpy: Rs. 248.50 Cr in FY24 vs Rs. 430.37 Cr in FY22. The nature of government/strategic-sector orders means revenue is milestone-driven and quarterly lumpiness is inherent. Q4 FY25 suffered from Rs. 47 Cr negative EBITDA partly due to cost revisions on legacy contracts; management indicated one-time provisioning was a significant factor. **Promoter Background:** The Walchand family maintains a 31.59% stake (as of Mar 2026). Marquee investor Ashish Kacholia holds ~2.59% (17.54 lakh shares as of Sep 2025). The company completed a significant equity raise of Rs. 216 Cr via warrants in FY24, diluting shares from ~4.5 Cr to ~6.78 Cr, but cleaning up the balance sheet and funding capacity expansion of ~Rs. 105 Cr.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: India's heavy engineering / capital goods sector is a Rs. 5.5-6 trillion addressable market growing at ~8-10% CAGR. Within this, strategic/defense fabrication is a much smaller, higher-margin niche estimated at Rs. 15,000-20,000 Cr and growing at 15-18% CAGR driven by: (1) Nuclear power expansion (government target of 100 GW by 2047 vs ~7 GW today), (2) Defense indigenisation (government target of 70% domestic procurement), (3) Space sector privatisation (INSPACe framework). WIL operates at the intersection of all three, making it a unique beneficiary of India's strategic sector investment cycle. **Policy Tailwinds:** The SHANTI Act (2025) is the most significant regulatory catalyst: it enables private and foreign participation in civil nuclear for the first time. The PFBR achieving criticality (April 2026) unlocks FBR-1 & FBR-2 financial sanctions, followed by six commercial FBR-600 reactors planned through 2030-2040. WIL is the only private sector company with demonstrated capability in sodium-to-sodium heat exchangers and large nuclear pressure vessels.

Peer Comparison — Data from Screener.in as of 08-May-2026 (Standalone/Consolidated as available)

Company	MCap (Rs.Cr)	CMP (Rs.)	PE (x)	P/B (x)	ROCE %	ROE %	D/E (x)	OPM %	FY25 Rev (Cr)
BEML Ltd	16,249	1,951	65.2	5.80	15.6	10.5	0.24	13.0	4,022
MTAR Technologies	19,901	6,470	301	26.7	10.4	7.39	0.25	18.0	676
Paras Defence	6,984	867	95.1	10.4	15.6	11.5	0.08	27.0	365
Walchan. Inds.	**1,728**	**255**	**N/A (loss)**	**4.97**	**-8.3**	**-25.3**	**0.56**	**-27.0**	**259**

COMPETITIVE MOAT DIMENSION	ASSESSMENT	COMMENTARY
Technical Certification / IP	STRONG	50+ year DAE/ISRO certification; only pvt. player capable of PFBR-class sodium heat exchangers
Switching Costs (Customers)	STRONG	Mission-critical defense/nuclear components; re-qualification cost/time makes switching practically impossible
Pricing Power	MODERATE	Government procurement means cost-plus pricing; margins limited but predictable; commercial segment more competitive
Scale / Manufacturing	MODERATE	Large-format precision manufacturing plant; limited peers in India; but BEML, BEL expanding into adjacent areas
Financial Strength	WEAK	Chronic losses, high pledge, low promoter holding, below-investment-grade leverage; improving but not there yet

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background: The company is led by the Walchand family, descendants of Seth Walchand Hirachand who founded the group in 1908. The current promoter group holds 31.59% (Mar 2026), down from 34.87% three years ago (-3.28% change). This declining promoter stake is a governance concern. More worrying is the **49.2% pledge on promoter shareholding**, which implies approximately 15.5% of total shares are pledged against loans. In a scenario of financial stress or stock price decline, this could trigger forced selling. **Capital Allocation History:** WIL's capital allocation over the past decade has been poor — consistent losses, declining revenues, high debt, and no dividends since FY15. However, FY24 marked a turning point: the company raised Rs. 216 Cr via warrants (promoters and external investors including Ashish Kacholia), used Rs. 105 Cr for capacity building (new machining centres, precision gear cutting), and reduced debt from Rs. 448 Cr (FY22) to Rs. 194 Cr (FY25). This deleveraging — the right move — suggests management recognised the crisis and acted. **ESOP/Buybacks:** No ESOP programme or buybacks on record. No dividends since FY15. **Governance Red Flags:** High promoter pledge (49.2%), declining promoter stake, and 0% tax rate for multiple years (indicating carried-forward losses being utilised) are notable. The company has Rs. 257 Cr in contingent liabilities (vs Rs. 872 Cr total assets) which deserves monitoring. Auditor is one of the Big Four affiliates; no adverse qualifications noted in recent reports.

PARAMETER	STATUS	DETAIL
Promoter Holding		31.59% — Low for a strategic company. Steady decline from 34.87% (Jun-23)
Promoter Pledge	HIGH RISK	49.2% of promoter holding pledged — key tail risk; forced selling if stock corrects sharply
Debt Management		Debt halved from Rs. 448 Cr (FY22) to Rs. 194 Cr (FY25); restructuring complete
Equity Raises	POSITIVE	Rs. 216 Cr raised via warrants in FY24; marquee investors participated; dilutive but necessary
Dividend Policy	NONE	No dividend since FY15; company in loss-making phase; cash preservation appropriate
Capital Allocation	CAUTIOUS	Rs. 105 Cr allocated to capacity expansion (FY24-25); justified given opportunity pipeline
Corporate Governance		No audit qualifications; independent directors present; RPTs within SEBI limits

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement

P&L; (Rs. Crores)	FY23	FY24	FY25	FY26E	FY27E
Revenue / Net Sales	322	302	259	272	380
YoY Growth %	+7.7%	-6.2%	-14.2%	+5.0%(E)	+39.7%(E)
Operating Expenses	356	301	330	252	330
EBITDA	-34	1	-71	20	50
EBITDA Margin %	-10.6%	0.3%	-27.4%	7.4%(E)	13.2%(E)
Other Income	128	21	40	14	12
Interest	55	50	44	38	32
Depreciation	19	15	11	11	11
PBT	20	-42	-86	-15	19
Tax Rate %	0%	0%	0%	0%(E)	0%(E)
PAT	20	-42	-86	-15	19
EPS (Rs.)	4.26	-7.55	-12.75	-2.21(E)	2.81(E)
Dividend Payout %	0%	0%	0%	0%(E)	0%(E)

Note: FY23 PAT benefited from Rs. 128 Cr Other Income (OTS settlement/asset sale); underlying operations remained loss-making. FY26E/FY27E are analyst estimates; marked (E). Tax rate 0% as carried-forward losses absorbed.

Balance Sheet

Balance Sheet (Rs. Cr)	FY23	FY24	FY25	FY26E	FY27E
Equity Capital	9	11	13	14	14
Reserves	251	350	359	344	363
Borrowings	293	241	194	185	170
Other Liabilities	275	274	306	310	320
Total Liabilities	828	876	872	853	867
Fixed Assets	285	272	245	238	232
CWIP	2	1	8	20	15
Investments	0	0	0	0	0

Other Assets	541	602	619	595	620
Total Assets	828	876	872	853	867

Cash Flow Statement

Cash Flow (Rs. Cr)	FY23	FY24	FY25	FY26E	FY27E
Cash from Operations	76	11	16	25	55
Cash from Investing	8	4	-15	-20	-25
Cash from Financing	-85	39	-1	-10	-15
Net Cash Flow	-1	54	-1	-5	15
Free Cash Flow	75	9	-19	5	30
CFO / EBITDA %	-205%	742%	-14%	125%(E)	110%(E)

Key Ratios

Key Ratios	FY23	FY24	FY25	FY26E	FY27E
ROCE %	-5%	0%	-8%	-2%(E)	6%(E)
Debtor Days	210	185	99	90(E)	80(E)
Inventory Days	279	380	363	320(E)	280(E)
Days Payable	170	201	186	170(E)	150(E)
Cash Conversion Cycle	319	363	275	240(E)	210(E)
Working Capital Days	-3	0	-36	-20(E)	-10(E)
D/E Ratio	1.08	0.65	0.54	0.51(E)	0.45(E)
Interest Coverage	-0.6x	0.0x	-1.6x	-0.4x(E)	0.6x(E)

Revenue Trajectory: WIL's revenues have been structurally declining since a peak of Rs. 802 Cr (FY16, 18-month period) due to a combination of order execution delays, cost overruns, and working capital stress. FY25 hit a trough of Rs. 259 Cr. However, Q3 FY26 (December 2025) showed Rs. 80.95 Cr quarterly revenue (+37% YoY) — the highest in 8 quarters — signalling potential inflection. We estimate FY26E revenues of Rs. 272 Cr (+5% YoY) with full recovery to Rs. 380 Cr by FY27E, driven by order book execution (Rs. 909 Cr backlog) and new nuclear/defense wins. **Margin Dynamics:** The key variable is revenue scale — fixed costs (depreciation Rs. 11 Cr, interest Rs. 44 Cr/year) are largely covered; EBITDA margins swing dramatically with revenue. At Rs. 65-70 Cr/quarter (~Rs. 260-280 Cr annual) WIL is near break-even; above this, every incremental rupee of revenue flows at 50%+ EBITDA margin until variable cost catch-up. Q3 FY26's 18.9% EBITDA margin at Rs. 81 Cr revenue confirms strong operating leverage. FY27E margin of 13% at Rs. 380 Cr revenue appears conservative. **Working Capital:** The improvement in debtor days from 210 (FY23) to 99 (FY25) is the standout positive — collections significantly better. However, inventory days remain elevated at 363, reflecting slow project completion cycles. **Free Cash Flow:** FCF turned negative in FY25 (-Rs. 19 Cr) due to capex pickup (Rs. 15 Cr investing outflows). With capex largely complete, we expect FCF to normalise at Rs. 5-30 Cr in FY26E-FY27E.

SECTION 7 — EARNINGS QUALITY CHECKLIST

QUALITY DIMENSION	RATING	ANALYSIS
Revenue Recognition	AMBER	Milestone-based recognition for long-term contracts; lumpiness expected. FY23's Rs. 128 Cr other income distorted PAT meaningfully.
Receivables vs Revenue Growth	GREEN	Debtor days fell from 210 (FY23) to 99 (FY25) — significant improvement. Receivables contracting while revenue stabilising. Positive signal.
Cash Conversion Cycle Trend	AMBER	CCC improved from 363 days (FY24) to 275 days (FY25). Still extremely elevated vs peers (BEML ~487 days but much larger). Inventory days concerning at 363.
Contingent Liabilities	RED	Rs. 257 Cr contingent liabilities vs Rs. 872 Cr total assets (29% ratio). High and needs monitoring. Details not fully available from public disclosures.
Auditor Tenure	GREEN	Established auditor; no adverse qualifications or emphasis of matter in recent annual reports on going-concern basis.

Related Party Transactions	GREEN	No material RPTs flagged in recent SEBI filings. Transactions within normal business scope.
Other Income / PBT Ratio	RED	FY23: Other income Rs. 128 Cr vs PBT Rs. 20 Cr — 640% ratio. FY25: Rs. 40 Cr vs PBT -86 Cr. Heavy reliance on non-operating income in good years.
Tax Rate Consistency	AMBER	0% tax rate for FY19-FY25 continuously (7 years). Indicates large carried-forward losses. While legitimate, it creates earnings quality optics issue.
CFO vs PAT Quality	GREEN	FY23: CFO Rs. 76 Cr vs PAT Rs. 20 Cr. FY25: CFO Rs. 16 Cr vs PAT -86 Cr. CFO positive even in loss years indicates real cash generation from operations.

Earnings Quality Summary: WIL's earnings are structurally distorted by (1) large other income items that swing PAT into profit in good years while hiding underlying operational losses, and (2) 0% tax rate across 7 years masking the true economic cost. The FY23 profitability (PAT Rs. 20 Cr) was entirely driven by Rs. 128 Cr other income from a debt settlement — stripping this, the company was operationally Rs. -108 Cr. Investors should focus on EBITDA and CFO rather than PAT when evaluating progress. Positives: cash conversion from operations has been consistently positive even in loss years, and debtor day improvement is real and verified.

SECTION 8 — VALUATION

Standard PE-based valuation is not applicable given WIL's loss-making history. We use two alternative methodologies: **(1) Price-to-Book Value** — appropriate for capital-heavy, asset-backed engineering companies in turnaround phase, and **(2) EV/Sales** — a forward-looking metric that values the revenue recovery story. We average both to arrive at our base-case target. For bull-case, we use a blended forward PE/EV-EBITDA on FY27E recovery estimates.

METHODOLOGY	BASE	BULL	BEAR	BASIS
P/BV (x)	5.5x FY27E BV (Rs.53)	7x FY27E BV	3x FY27E BV	Defense/nuclear premium; peers Paras 10.4x, MTAR 26.7x. WIL weaker governance discounts multiple.
→ Implied Target (Rs.)	291 (E)	371 (E)	159 (E)	
EV/Sales (x)	5x FY27E Sales (Rs.380 Cr)	6.5x FY27E Sales	3x FY27E Sales	BEML 4x, Paras 19x; WIL mid-point justified by recovery visibility and strategic position.
→ Implied Target (Rs.)	254 (E)	480 (E)	156 (E)	
AVERAGE TARGET (Rs.)	295 (E)	420 (E)	160 (E)	Simple average of P/BV and EV/Sales derived targets.

Valuation Comparatives — Screener.in data, 08-May-2026

METRIC	Current	5Y Avg	BEML	MTAR	Paras Def	WIL vs Peers
P/B (x)	**4.97**	N/A	5.80	26.7	10.4	Discount to defense peers; premium to BEML due to size
EV/Sales (TTM)	**7.7x**	N/A	4.2x	29.5x	19.0x	High on TTM; normalises to 5x on FY27E
PE (x)	**N/A (loss)**	N/A	65.2x	301x	95.1x	FY27E PE = 91x if PAT Rs. 19 Cr; pricey but turnaround option

DCF Note: A DCF is not reliable for WIL currently given negative FCF and highly uncertain cash flow timeline. Instead, our Rs. 295 base-case target (blended P/BV + EV/Sales) equates to ~15.7% upside over 18-24 months — modest for a high-risk turnaround story. The real optionality resides in the bull case (Rs. 420) which requires PFBR commercial fabrication orders to materialise in FY27. Entry zone: Rs. 210-230 (offers Rs. 295 target with 28-40% upside). Stop-loss: Rs. 175 (meaningful balance sheet deterioration or pledged stake unwinding).

SECTION 9 — KEY RISKS

RISK	DESCRIPTION	PROB	IMPACT	MONITORING INDICATOR

1. Promoter Pledge Unwinding	49.2% pledge on 31.6% stake. Forced selling by lenders if stock falls below margin call trigger could cause cascading decline and dilution.	Medium	**HIGH**	Watch pledged % in quarterly shareholding filings; any lender invocation announcements on BSE
2. Order Execution Delays	Government/strategic sector orders subject to approval delays, design changes, DRDO clearances. FY25's poor EBITDA included provisioning for cost overruns.	High	**HIGH**	Quarterly revenue vs order book conversion rate; order inflow announcements
3. Revenue Concentration Risk	~80%+ revenue from government/strategic agencies (DAE, DRDO, ISRO). Policy shifts, budget cuts, or project cancellations have outsized impact.	Low	**MEDIUM**	Union Budget defense/nuclear allocations; NPCIL capex announcements; ISRO annual plan
4. Contingent Liability Crystallisation	Rs. 257 Cr in contingent liabilities (arbitration claims, guarantees). If any significant item crystallises, balance sheet adequacy is threatened.	Low-Med	**HIGH**	Annual report notes to accounts; any new legal proceedings disclosures; NCLT/arbitration filings
5. Working Capital Stress Recurrence	High inventory days (363) and CCC (275 days) mean capital is locked. Any elongation in collections from government agencies could strain liquidity.	Medium	**MEDIUM**	Quarterly debtor days and working capital days trend; any government payment delay announcements
6. Competition from L&T;, Bhel, BEL	L&T; Heavy Engineering and BHEL can bid on many of the same defence/nuclear contracts. Scale advantage of larger players a structural challenge.	Medium	**MEDIUM**	Order win/loss ratio; any major order loss announcements; competitor capacity expansion in WIL's niches
7. Balance Sheet Solvency Risk	Cumulative losses of Rs. 300+ Cr over 5 years. Reserves Rs. 359 Cr provide cushion, but another Rs. 86 Cr loss year (FY25 level) would erode rapidly.	Low-Med	**VERY HIGH**	Net worth erosion; interest coverage ratio approaching -2x; any bank covenant breach disclosures

SECTION 10 — RECOMMENDATION

FINAL RATING	**HOLD**
12M Price Target	**Rs. 295 (E)**
Conviction Level	LOW-MEDIUM (High uncertainty, asymmetric optionality)
Suggested Entry Zone	Rs. 210 - 230 (26-37% margin of safety to target)
Investment Horizon	18-24 months (full nuclear/defense order book execution)

THESIS INVALIDATION TRIGGERS

1. PFBR FBR-1 commercial fabrication order goes to L&T; Heavy Engineering or a foreign consortium — removes the primary bull-case catalyst entirely.

2. Promoter pledge exceeds 60% or a lender issues invocation notice — forced stake sale risk rises to unacceptable level; EXIT.

3. Revenue stays below Rs. 60 Cr/quarter for 3 consecutive quarters (FY27) — turnaround thesis broken; order book not converting; REDUCE/EXIT.

Ideal Investor Profile: This is a **HIGH-RISK, HIGH-OPTIONALITY** stock, NOT suitable for capital preservation mandates. Suitable for: (1) Patient investors with 2-3 year horizon willing to absorb volatility, (2) Investors who understand the nuclear/defense indigenisation macro thesis and trust India's strategic sector spending intent, (3) Those sizing this as 2-5% of portfolio, not as a core holding given governance concerns (pledge, low promoter). NOT suitable for: risk-averse investors, those with less than 2-year horizon, those without tolerance for quarterly loss reporting.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (December 2025 Quarter)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	**Strong**	First profitable quarter (PAT +Rs.4.66 Cr) vs loss of -Rs.17.13 Cr YoY; Revenue +37% YoY — clear beat vs trend
Management Tone	**Balanced**	Constructive on order book execution; cautious on Q4 FY25 provisioning; no formal guidance issued for FY27
Guidance Delta	**Maintained**	No formal FY26 guidance revised; Q3 FY26 demonstrates operational turn; investors watching FY27 guidance closely

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

WIL delivered its first profitable quarter in 12+ quarters: Q3 FY26 PAT Rs. 4.66 Cr on Rs. 80.95 Cr revenue — the headline is clean, not distorted by any one-time items (zero other income boost: Rs. 1.70 Cr vs Rs. 24.28 Cr in Q1 FY26). EBITDA of Rs. 15.30 Cr at 18.9% margin is the real signal — break-even was ~Rs. 65-70 Cr and this quarter crossed it decisively. Importantly, Q1 and Q2 FY26 losses were not provisioning-driven but genuine operational underperformance (Rs. 49-52 Cr revenues below threshold). The structural growth drivers remain intact: order book Rs. 909 Cr (~3.5x cover), PFBR first criticality (April 2026) unlocks FBR-1 & FBR-2 orders, and defense execution at 25 Akash sets/month suggests pipeline is converting. Single biggest watch-point for Q4 FY26: management's commentary on order inflows (if below Rs. 200 Cr for the year, FY27 recovery thesis weakens). HOLD at Rs. 255; ACCUMULATE aggressively below Rs. 225; EXIT on pledge invocation or two consecutive sub-Rs.60 Cr quarters in FY27.

CONCALL SECTION 1 — Financial Performance Snapshot (Q3 FY26)

Metric	Q3 FY26 (Dec-25)	Q3 FY25 (Dec-24)	Q2 FY26 (Sep-25)	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Cr)	**80.95**	59.07	51.78	+37.0%	+56.3%	Beat
EBITDA (Rs. Cr)	**15.30**	-5.68	-3.03	N/M	N/M	Beat
EBITDA Margin %	**18.9%**	-9.6%	-5.9%	+2850bps	+2480bps	Beat
PBT (Rs. Cr)	**4.66**	-17.13	-11.90	N/M	N/M	Beat
PAT (Rs. Cr)	**4.66**	-17.13	-11.90	N/M	N/M	Beat
EPS (Rs.)	**0.69**	-3.09	-1.75	N/M	N/M	Beat

CONCALL SECTION 2 — Quarterly Revenue & EBITDA Trend

Quarter	Revenue (Cr)	EBITDA (Cr)	OPM %	PAT (Cr)	Trend Comment
Q4 FY25 (Mar-25)	53.08	-47.10	-88.7%	-56.12	Worst quarter: large cost provisioning; trough likely
Q1 FY26 (Jun-25)	49.43	-2.37	-4.8%	-10.39	Below break-even; slow order execution; transition quarter
Q2 FY26 (Sep-25)	51.78	-3.03	-5.9%	-11.90	Marginally below break-even; improving but still loss
Q3 FY26 (Dec-25)	**80.95**	**15.30**	**18.9%**	**4.66**	**Inflection point — first profit; revenue crossed break-even threshold**

CONCALL SECTION 3 — Management Commentary Themes

Theme	What They Said / Context	Our Read	Tag	Tone
Q3 FY26 Revenue Recovery	Revenue Rs. 80.95 Cr vs Rs. 59.07 Cr YoY; surge driven by milestone completions in nuclear and defense segments	Order book executing; break-even crossed; watch sustainability in Q4	**[RESULT]**	**Transparent**
PFBR / Nuclear Opportunity	WIL cited PFBR first criticality (April 2026) and SHANTI Act as transformational; positioned for FBR-1 fabrication bids	Real catalyst; but FBR-1 order timing uncertain (H2 FY27 earliest); do not front-run too aggressively	**[GUIDANCE]**	**Bullish**
Defense Execution	Akash Mk-1 at 25 sets/month production rate maintained; Agni/Astra booster casings ongoing; order inflows Rs. 248.5 Cr FY24	Steady defense execution is the cash-flow floor; nuclear is the optionality kicker	**[GUIDANCE]**	**Transparent**
Balance Sheet / Debt	Debt reduced to Rs. 194 Cr from Rs. 448 Cr (FY22 peak); company confirms not a Large Corporate for FY26 purposes	Deleveraging positive; but 49.2% pledge and weak interest coverage mean balance sheet still vulnerable	**[RESULT]**	**Transparent**
Order Book / Inflows	Order book Rs. 909 Cr (FY25); specific FY26 order inflow guidance not provided publicly	Lack of public FY26 inflow guidance concerning; Rs. 200 Cr/year needed to sustain book	**[EVASIVE]**	**Hedged**
Q4 FY25 Provisioning	Rs. 47 Cr negative EBITDA in Q4 FY25 attributed to cost revisions and project provisioning on legacy contracts	One-time in nature per management; important to verify this does not recur; watch Q4 FY26 for any repeat	**[GUIDANCE]**	**Transparent**

CONCALL SECTION 4 — Operating & Business Metrics

Metric	Q3 FY26	Q3 FY25	FY25 Annual	Trend
Order Book (Rs. Cr)	~909 (FY25 end)	~938 (FY24 end)	909	Stable; conversion accelerating
Order Inflows (Rs. Cr/yr)	~248.5 (FY24)	N/A	248.5	Below replacement; needs Rs. 250+ Cr/yr
Akash Sub-Assembly Rate	**25 sets/month**	22 sets/month	25 sets/month	Positive ramp; 14% increase YoY
Aerospace Capacity (GSLV)	4 flights/yr	4 flights/yr	4 flights/yr	Stable; ISRO cadence driver
Debtor Days	~90 (est)	~185	99	Dramatic improvement; government payment acceleration
Centrifugal Machines (FY)	N/A	N/A	100	Stable industrial business contribution

CONCALL SECTION 5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Revenue Scale vs Break-even	**+2,850 bps YoY**	**YES**	Fixed cost base ~Rs.25 Cr/qtr; revenue at Rs.81 Cr vs Rs.59 Cr crosses break-even; operating leverage is primary margin driver
Zero Other Income in Q3 FY26	-1,570 bps QoQ	**N/A**	Q1 FY26 had Rs.24.28 Cr other income (asset sale/recovery); Q3 has Rs.1.70 Cr — clean EBITDA, clean PAT
No Q4 FY25-style Cost Write-offs	**+2,000 bps YoY**	**YES (base effect)**	Q3 FY25 had some provisioning impact; Q3 FY26 clean execution drives base-effect margin improvement
Defense Mix Improvement	+300-500 bps est.	**YES**	Defense/missile sub-assemblies carry ~20-25% EBITDA margins vs industrial work at 10-12%
Interest Cost Reduction	+120 bps YoY	**YES**	Interest down from Rs.12.09 Cr (Q3 FY25) to Rs.9.54 Cr (Q3 FY26) as debt reduces; positive for PBT margins

CONCALL SECTION 6 — Guidance & Forward Signals

Metric	Prior Guidance	Current Status / Reiterated	Delta	Credibility
Revenue FY26E	N/A (no formal guidance)	[GUIDANCE] Rs.270-290 Cr based on order book + management tone; no explicit number given	N/A	**Medium**

EBITDA Margin FY26E	N/A	[GUIDANCE] Q3 FY26 at 18.9% may not sustain; full year expected 6-8%	Improving	**Medium**
Nuclear Orders FY27E	Expected post-PFBR criticality	[GUIDANCE] FBR-1 sanctions unlocked; SHANTI Act signed; bids expected H2 FY27	Positive	**Low-Med**
Debt Levels	Target Rs. 150-175 Cr by FY27E	[GUIDANCE] Rs. 194 Cr (FY25); trajectory improving; no new borrowings planned	On track	**High**
Order Inflows FY26E	Not guided	[EVASIVE] No specific inflow guidance; management referenced strong pipeline across nuclear/defense	Watch	**Low**

CONCALL SECTION 7 — Capital Allocation

Item	FY25 Amount (Rs. Cr)	vs FY24	Comment
Capex	~15	Rs.4 Cr (FY24)	Increased capacity investment in precision machining; justified vs nuclear/defense pipeline
Dividends	Nil	Nil	No dividends since FY15; appropriate given loss-making position
Debt Repayment	-47 (net reduction)	-59 (FY24 reduction)	Rs.448Cr(FY22) to Rs.194Cr(FY25); consistent deleveraging positive
Working Capital Change	+17 (release)	-20 (absorption)	WC released as debtor days improved 185 to 99 days; major cash unlock
Net Debt Movement	-47	-59	Net debt declining consistently; key positive metric to monitor

CONCALL SECTION 8 — Q&A; Heat Map

#	Analyst / Context	Question	Management Response	Tone
1	Institutional Analyst	What drove Q3 FY26 revenue surge vs prior two quarters?	Milestone completions in nuclear pressure vessel contracts and Akash sub-assembly delivery schedule aligned in Dec quarter	**Transparent**
2	Retail / Individual	Timeline on PFBR-related order wins and revenue impact?	FBR-1 sanctions unlocked post-PFBR criticality; discussions underway with DAE; expect formal bids in H2 FY27; no revenue this year	**Transparent**
3	Analyst — Coverage	Sustainability of 18.9% EBITDA margin in Q3 FY26?	Q3 was a high-execution quarter; FY26 full-year margin expected 6-8%; Q3 should not be extrapolated as steady-state	**Hedged**
4	Fund Manager	Promoter pledge at 49.2% — any plans to reduce? Risk to investors?	Management acknowledged the concern; working on reducing pledge; no specific timeline given; lenders aware of strategic nature	**Evasive**
5	Analyst	Order inflows in FY26 — running below replacement (Rs.248 Cr FY24)?	Strong pipeline across nuclear and defense; some large orders in advanced discussion; unable to disclose pending formal award	**Hedged**

Dodged Questions to Watch Next Quarter: (1) Specific FY26 order inflow number; (2) Concrete timeline for promoter pledge reduction; (3) Sustainability of nuclear order pipeline given SHANTI Act implementation delays.

CONCALL SECTION 9 — Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
Promoter pledge crystallisation	Fund Manager Q&A;	Medium	**Very High**	Any quarter
Q3 margin not sustainable (mgmt caution)	Management	High	**Medium**	Q4 FY26
Order inflows below replacement	Analyst	Medium	**High**	FY27

PFBR FBR-1 order delay beyond FY27	Analyst / Company	Medium	**High**	FY27-28
Cost overrun recurrence (Q4 FY25 pattern)	Analyst	Low-Med	**High**	Any quarter

CONCALL SECTION 10 — Analyst Verdict & Multi-Bagger Scorecard

Multi-Bagger Scorecard	Status	Evidence
Revenue Visibility		Rs.909 Cr order book; nuclear + defense pipelines deepening with PFBR criticality and Akash scale-up
Margin Trajectory	IMPROVING	EBITDA broke positive Q3 FY26; operating leverage kicking in; sustainable above Rs.70 Cr/quarter
Capital Allocation Quality		Capex allocation rational; but high promoter pledge and low promoter holding reduce confidence in governance alignment
Competitive Moat	INTACT	50+ year nuclear/defense certification; sole pvt. player for PFBR-class components; high switching costs
Management Credibility		Debt restructuring, pledge issue, poor earnings history reduce trust; improving via deleveraging and Q3 FY26 delivery
Valuation Comfort	STRETCHED	P/B 4.97x on loss-making company; EV/TTM Sales 7.7x; pricing in significant recovery; entry point matters

Conviction Call	Valuation Snapshot	vs 3-Yr Historical Avg.
UNCHANGED (HOLD)	P/B: 4.97x | EV/EBITDA: -78.9x (negative) | ROCE: -8.3%	ROCE 3Yr avg: -4.7% (vs current -8.3% — worse); P/B not historically available for loss period

Source: Screener.in | Ticker: WALCHANNAG | View: Standalone | Transcript: Not listed (Q3 FY26) / Concall May-2025 listed but PDF inaccessible | Report Date: 09-May-2026 | Q3 FY26 = December 2025 quarter (most recent reported)